

# Nasdaq 100 Leads Gains as Tech Stocks Rebound

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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## TL;DR

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The Nasdaq 100 led gains among major US indices, rising 1.10% as tech stocks rebounded. The S&P 500 and Dow Jones also closed higher, up 0.38% and 0.02% respectively. Beneath the surface, the VIX fell 3.85% to 16.50, while the 10Y yield declined 0.52% to 4.59.

A closer look at sector rotation reveals that tech and financials led the charge, with the XLK and XLF sector ETFs rising 1.29% and 0.20% respectively. The energy sector also saw gains, with WTI crude oil rising 2.41% to 80.02. Meanwhile, the DXY fell 0.45% to 100.83, while gold rose 1.02% to 4,037.60.

# US Session Recap

| INDEX/ASSET  | LEVEL     | CHANGE | WHY IT MOVED                |
|--------------|-----------|--------|-----------------------------|
| S&P 500      | 7,543.59  | +0.38% | Tech rebound, economic data |
| Nasdaq 100   | 29,586.29 | +1.10% | Tech stocks rebounded       |
| Dow Jones    | 52,508.27 | +0.02% | Financials and energy gains |
| Russell 2000 | 2,964.76  | +0.39% | Small-cap rebound           |
| VIX          | 16.50     | -3.85% | Market volatility decreased |

## Top large-cap movers

| TICKER | CHANGE | CATALYST         |
|--------|--------|------------------|
| NVDA   | +4.06% | Tech rebound     |
| GS     | +9.00% | Financials gains |
| JPM    | +2.50% | Financials gains |

# Sector Rotation

| ETF  | DAY    | READ                         |
|------|--------|------------------------------|
| XLK  | +1.29% | Tech rebound                 |
| XLF  | +0.20% | Financials gains             |
| XLI  | +0.04% | Industrials flat             |
| XLE  | +0.37% | Energy gains                 |
| XLY  | -0.12% | Consumer discretionary falls |
| XLC  | -0.13% | Communication services falls |
| XLP  | -1.38% | Consumer staples falls       |
| XLV  | -1.93% | Healthcare falls             |
| XLU  | -0.07% | Utilities flat               |
| XLB  | +0.12% | Materials gains              |
| XLRE | -0.49% | Real estate falls            |

## Spotlight

The biggest event of the day was the rebound in tech stocks, led by **NVDA** and **GOOGL** . The following metrics table highlights the key numbers:

| METRIC             | VALUE  |
|--------------------|--------|
| <b>NVDA</b> price  | 211.80 |
| <b>GOOGL</b> price | 359.51 |
| Nasdaq 100 change  | +1.10% |

The read-through to related names is positive, with **MSFT** and **AMZN** also seeing gains.

## Pre-Market & Overnight

US futures are pointing to a higher open, with the S&P 500 and Dow Jones futures up 0.2% and 0.1% respectively. In Asia, the Nikkei and Hang Seng indices closed up 0.5% and 0.2% respectively. In Europe, the FTSE and DAX indices are up 0.3% and 0.2% respectively. In crypto, **BTC** and **ETH** are up 4.06% and 5.80% respectively.

## Macro & Fed

The FOMC meeting is scheduled for next week, with markets expecting a 25bps rate hike. The yield curve shape is currently flat, with the 2Y and 10Y yields at 4.50 and 4.59 respectively. Today's data calendar includes:

| TIME HKT | RELEASE                  | CONSENSUS | WHY IT MATTERS            |
|----------|--------------------------|-----------|---------------------------|
| 20:30    | US Retail Sales          | 0.5%      | Economic growth indicator |
| 22:00    | US Industrial Production | 0.2%      | Economic growth indicator |

## Geopolitics & Global

- Tensions between the US and China remain high, with trade talks scheduled for next month.
- The EU and UK are negotiating a new trade deal, with a deadline of the end of the year.
- The Middle East is seeing increased tensions, with the US and Iran engaging in diplomatic talks.

# Earnings — What to Watch

| WHEN HKT | TICKER | CONSENSUS | WHAT TO LOOK FOR                      |
|----------|--------|-----------|---------------------------------------|
| 22:00    | JPM    | 2.50      | Financials earnings, economic outlook |
| 23:00    | GS     | 5.00      | Financials earnings, trading revenue  |

# Watchlist Scan

| TICKER | SECTOR                 | WHY NOW                          |
|--------|------------------------|----------------------------------|
| AAPL   | Technology             | Tech rebound, product launches   |
| MSFT   | Technology             | Tech rebound, cloud growth       |
| AMZN   | Consumer Discretionary | E-commerce growth, cloud revenue |

# What Could Break the Tape

## BULLISH TRIGGERS

- Tech rebound continues, with NVDA and GOOGL leading the charge.
- Financials gains accelerate, with JPM and GS beating earnings expectations.
- Economic data surprises to the upside, with US Retail Sales and Industrial Production beating consensus.

#### BEARISH TRIGGERS

- Tech rebound falters, with **NVDA** and **GOOGL** falling short of expectations.
- Financials gains reverse, with **JPM** and **GS** missing earnings expectations.
- Economic data disappoints, with US Retail Sales and Industrial Production falling short of consensus.

## Positioning Notes

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- Market positioning is currently neutral, with the VIX at 16.50.
- Investors are looking for opportunities to buy the dip, with the S&P 500 and Dow Jones futures up 0.2% and 0.1% respectively.
- Traders are watching the yield curve shape, with the 2Y and 10Y yields at 4.50 and 4.59 respectively.

## Sources

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Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com